

L12b: Why Do Markets Crash?

CHEME 5660 Cornell University

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Risk. Trading involves risk and is generally not recommended for those with limited resources, experience, or a low risk tolerance. Past performance does not guarantee future success.

Responsibility. You are responsible for your investment decisions based on your financial circumstances, objectives, risk tolerance, and liquidity needs.

Objectives for Today

Today, we build a simple agent-based market and ask whether changing one entry of a trading rule can turn a calm market into a falling one.

Today's concepts

- Rules as policies: a lookup table from what neighbors intend to what a trader intends next.
- The dealer: how net buying raises the price, net selling lowers it, and why a switched market needs a control.
- Rule-switch simulation: reading the selling fraction and the price, and what the comparison does and does not show.

What You Need to Know

Core concepts

- A Wolfram rule maps the neighbor sum $c \in \{0, 1, \ldots, 8\}$ to the trader's next intention. Rules 19280 and 19286 differ only at $c = 1$: Buy versus Sell.
- The dealer sets the price from the net trade. We compare every switched market with a control that shares its history.
- Giving the changed rule to a fraction f of the traders can tip the market toward a Sell majority while the control does not. This is an analogy for crashes, not an explanation of them.

For understanding (you won't reproduce these)

- The dealer's price update and the two algorithms.
- The technical traders' band rule and their edge conditions.
- The Q-learning notebook.

Lectures and Examples

Lecture:
CHEME-5660-L12b-Lecture-WhyDoMarketsCrash-ABM-Fall-2026.ipynb

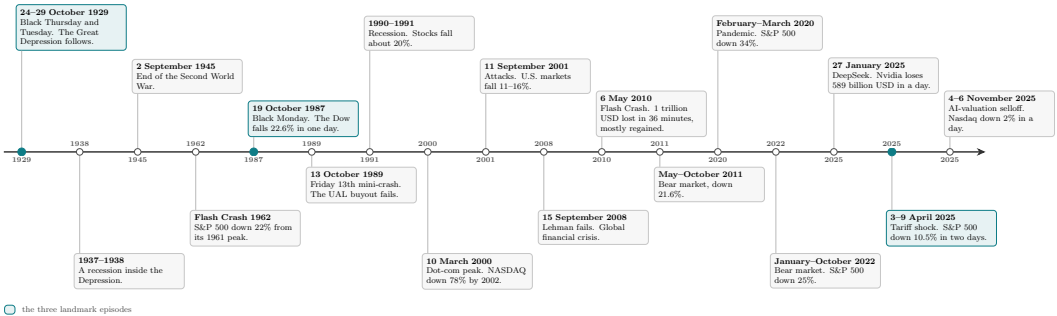
Examples:
CHEME-5660-L12b-Example-Wolfram-Rules-Fall-2026.ipynb
CHEME-5660-L12b-Example-Wolfram-RuleSwitch-Fall-2026.ipynb

Review on your own:
CHEME-5660-L12b-Example-Wolfram-StylizedFacts-Fall-2026.ipynb

Optional advanced notebooks are listed on the Optional Advanced Material frame.

Why Do Markets Crash?

A market crash is a sudden, significant decline in prices across a broad market. The three teal episodes are described on the next frame:



Three Landmark Episodes

Three episodes, each with a different trigger:

- 1929 Wall Street Crash: margin-fueled speculation met a sudden loss of confidence, and leveraged investors rushed to cover.
- 1987 Black Monday: portfolio insurance and program trading amplified a slide, and a one-day 22.6% Dow drop followed.
- April 2025 tariff mini-crash: tariff announcements and retaliation fears triggered price declines and a jump in volatility. Losses eased after policy clarifications.

Sources: Federal Reserve History; Brady Report; USTR; Federal Reserve FSR

Agent-Based Markets

Markets are man-made systems, and they can fail. An agent-based model simulates traders as autonomous agents with their own rules, and the price emerges from their actions:

- Iori (2002): interacting traders who imitate each other produce large fluctuations and volatility clustering.
- Lux–Marchesi (1999): agents switch between fundamentalist and chartist strategies, producing bubbles and crashes.

Today, traders sit on a grid and act on what their neighbors intend to do.

Sources: Iori; Lux and Marchesi, Nature 397

Agents as Policies

A policy is a table that gives, for each possible state of an agent's surroundings, the action the agent takes. In our market:

- State: a number summarizing what a trader's four neighbors intend.
- Action: the trader's own next intention, Buy, Hold, or Sell.
- Source of the table: Q-learning could learn it from experience. Our traders are handed their tables, and we change one entry.

Wolfram Markets: The Grid and Intentions

Traders sit on the cells of a square grid, and simple local rules produce market-level behavior, as in Wolfram's cellular automata:

- Intention: Buy, Hold, or Sell, coded 0, 1, 2. We write $z_j(t) \in \{0, 1, 2\}$ for the intention of trader j at step t.
- Interior traders: each has four neighbors, above, below, left, and right, and updates its intention from theirs.
- Edge: some edge traders are technical traders who react to the dealer's price. The other edge positions stay in Hold.

Source: our paper on rule switches in Wolfram markets; Wolfram, *A New Kind of Science* (2002), Chapter 3

The Market Model

- Rule: trader i sums the intentions of its four neighbors ∂i, $c_i(t) = \sum_{j \in \partial i} z_j$, and sets $z_i(t) = a^{(R_i)}_{c_i(t)}$, with rule number $\boxed{R = \sum_{c=0}^{8} a_c \, 3^c}$. The baseline is Rule 19280.

- Dealer: quotes $S_t = W_t / Q_t$ (cash over shares). It fills the net trade x_t at the execution price $F_t = W_{t-1}/(Q_{t-1} - x_t)$, so $Q_t = Q_{t-1} - x_t$ and $W_t = W_{t-1} + F_t \, x_t$. Net buying ($x_t > 0$) raises the price, and the depth h sets how far. We also add price noise, a course addition:

$$\boxed{S_t = S_{t-1} \Big(\frac{Q_{t-1}}{Q_{t-1} - x_t} \Big)^2 \exp\left(\sigma_S \sqrt{\Delta t} \, Z_t \right)}$$

The Market Model (continued)

- Growth rate: each step lasts Δt years, the draw is $Z_t \sim \mathcal{N}(0,1)$, and σ_S is the annualized volatility of the price noise:

$$g_t = \frac{1}{\Delta t} \ln \frac{S_t}{S_{t-1}} = \underbrace{\frac{2}{\Delta t} \ln \frac{Q_{t-1}}{Q_{t-1} - x_t}}_{\text{traders}} + \underbrace{\frac{\sigma_S}{\sqrt{\Delta t}} Z_t}_{\text{price noise}}$$

- Technical traders: Buy below the band $\mu_t \pm k_j \sigma_t$, Sell above it, and Hold inside it. The band uses smoothing $0 < \alpha < 1$:

$$\mu_t = \mu_{t-1} + \alpha\,(S_t - \mu_{t-1}) \qquad \sigma_t = \sigma_{t-1} + \alpha\,(|S_t - \mu_t| - \sigma_{t-1})$$

Algorithm: One Market Step

Each step $t = 1, 2, \ldots, T$ runs in this order, with switch step t_s and R_i the rule of interior trader i:

1. Switch: at $t = t_s$, the chosen fraction f of interior traders get Rule 19286 and keep their intentions, cash, and shares.
2. Clear: the dealer's cash gets the price noise. The dealer then clears the orders from $z_i(t-1)$ and returns x_t, Q_t, W_t, and S_t.
3. Band: update μ_t and σ_t from S_t.
4. Edge: technical traders set $z_j(t)$ from the band (active), Hold (held), or a random draw (random signal).
5. Interior: every interior trader computes $c_i(t)$ from the old interior and new edge intentions, and sets $z_i(t) \leftarrow a^{(R_i)}_{c_i(t)}$.

Full version: the lecture notebook, after Algorithm S1 of our paper

Algorithm: Dealer Clearing

The dealer finds one price $F(x) = W_{t-1}/(Q_{t-1} - x)$ for a net trade x, with excess demand $e(x)$ of buyers who can pay minus sellers with a share:

1. Direction: $d \leftarrow \operatorname{sign} e(0)$, and bounds ℓ, u.
2. Search: bisect for the largest m with $d \cdot e(dm) \geq m$.
3. Price: $x_t \leftarrow d\ell$ and $F_t \leftarrow F(x_t)$.
4. Fill and settle: fill the short side in full; ration the other side by a seeded priority; move cash and shares at F_t.
5. Dealer: $Q_t \leftarrow Q_{t-1} - x_t$, $W_t \leftarrow W_{t-1}Q_{t-1}/Q_t$, and $S_t \leftarrow W_t/Q_t$.

Full version: the lecture notebook, after Algorithm S2 of our paper

Example: One Rule

Example:
CHEME-5660-L12b-Example-Wolfram-Rules-Fall-2026.ipynb

In this example, we read the table of one rule and run a market in which every interior trader follows it. We then run a second market under a different rule, and compare the two grids and the two share prices.

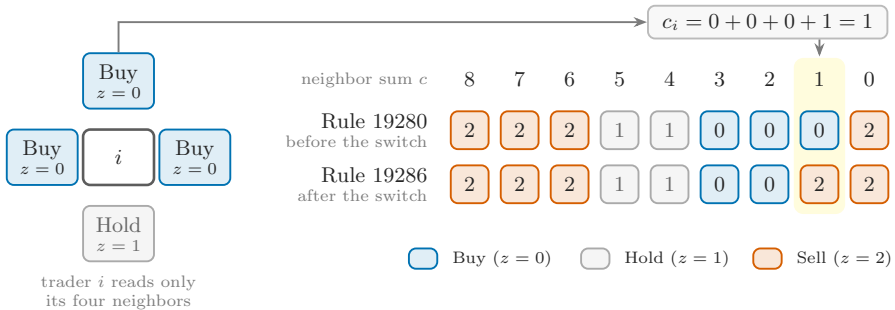
Example: Does the Price Look Real?

Review on your own:
CHEME-5660-L12b-Example-Wolfram-StylizedFacts-Fall-2026.ipynb

In this example, we measure the stylized facts of the dealer's price in a market that never switches, compare them with a real ticker and the Farmer–Joshi market, and vary the edge traders and the dealer's depth.

The Rule Switch

Rule 19286, $(222110022)_3$, differs from the baseline in one entry. Three neighbors intend Buy and one Hold, so $c = 1$: Rule 19280 buys, and Rule 19286 sells. Table columns run from $c = 8$ down to 0:



The Rule-Switch Experiment

We use the one-entry difference as a model of a change in psychology. The experiment has three parts:

- Shared history: all interior traders follow Rule 19280. At the switch step, a fraction f of them, chosen in advance, receive Rule 19286 and keep their intentions, cash, and shares.
- Control: a second market with the same history never switches. Differences after the switch come from the rule change.
- Edge traders: active, held, or random signal (a course addition). When held, any cascade comes from traders reading their neighbors.

Example: Rule Switch

Example:
CHEME-5660-L12b-Example-Wolfram-RuleSwitch-Fall-2026.ipynb

In this example, we run a switched market and its control, and watch the Sell intention spread across the grid. We then follow the share price as it falls and levels off, and use cached runs to find the fraction of switching traders at which a Sell majority forms.

Optional Advanced Material

Q-learning: advanced/qlearning/
CHEME-5660-L12b-Advanced-QLearning-Fall-2026.ipynb

How could a trader learn a policy table from experience instead of being handed one? We write the Q-learning update, lay out the algorithm, and describe when it converges to the best policy. Not a prerequisite for L13a.

Summary

We built a simple agent-based market and used it to ask how a small change in trader behavior can tip a market toward selling.

Key takeaways

- Rules as policies: a rule is a lookup table, and one entry can change.
- Dealer and control: net trades set the price, and a control isolates the switch.
- Tipping, by analogy: a switch for some traders can tip the market toward selling, but a simulation does not establish real causes.

Agent-based models ask how individual rules add up to market behavior.